



Reaching new heights

Trimester Meeting June 21, 2010

Superior GSE and Service



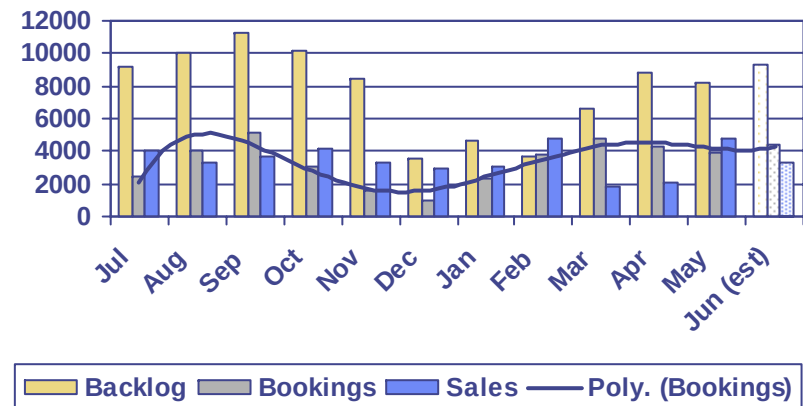
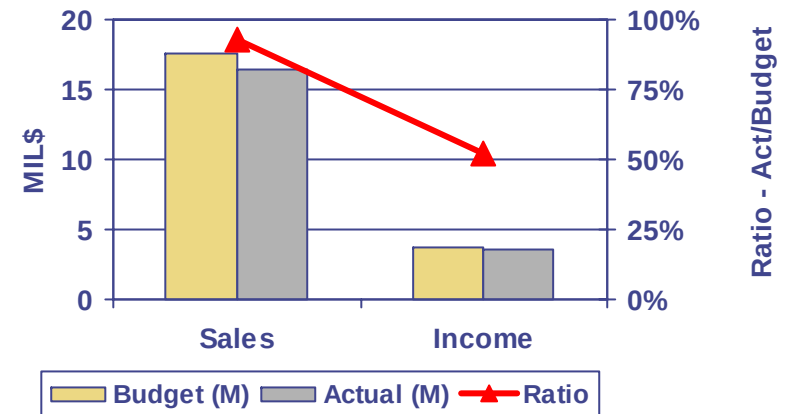
- Status of Our Business
- Status of Operations
- View From the Group - TLD Core Values
- Engineering Projects
- Recent Significant Wins
- Forecast
- Summary



Agenda



- Financial Performance (EOM May)
 - Sales (Volume)
 - 16.4M vs. 17.6M Budget
 - Income (Profit)
 - 0.77M vs. 1.49M Budget
 - Sales are slightly behind budget, but Income (Profit) is WAY behind Budget
- Backlog
 - 8.16M projected EOM May
 - Very low through 2010Q1
- Notice the FLAT TREND of bookings – this indicates a stability we haven't seen in nearly 2 years – it may be a good sign



Status of Our Business



- Safety
 - Two injuries this year
 - Incident rate of 5.60, Industry standard = 5.0, our goal is ZERO
 - For current work force @ TLD-ACE, 1 injury = Industry Standard
 - Falling off of a ladder & a Laceration
 - 100 days without a recordable
- Ways to Improve your Safe Work Habits
 - Seek Cleanliness – Avoid Clutter
 - Eliminate trips and falls
 - Improves efficiency
 - Fall Protection System for Work on top of Units
 - Eliminate risk of falling
 - Don't Take Risks
 - Don't lean from ladders, don't take shortcuts



Safety



- Most defects related to poor Attention to Detail
 - Wiring not correct
 - Parts not installed correctly
 - Documentation not completed
- We MUST identify non-compliant material BEFORE WE INSTALL it on the UNIT
 - A shop tour ALWAYS finds rusty parts installed on units
 - If we don't fix it right, they will CERTAINLY rust again - once the customer owns it
 - We MUST ensure we de-burr, clean, prime and paint holes we drill
- You are the SINGLE MOST IMPORTANT PART OF OUR QUALITY SYSTEM
 - Good Work by you makes good quality product
 - Good Work by you identifies poor quality materials
 - Good Work by you ensures our data packages are complete and accurate

Our Quality has improved over the last two years – but so has our competition's!
We must continue to get better – on every unit



Quality



- Improvements made in 2009 were lost in early 2010
 - Product Mix
 - Low Volume
 - Quality Problems
- Productivity inconsistent between unit to unit
 - One 802 can take 50% more hours than another – why?
- Need to continue to drive reduced cycle times to remain competitive
- Need to drive labor cost from our units
- We must continuously improve our productivity (our competition is....)
 - Essential to reach 2010 profitability goals
 - Essential to minimize cost growth and stay competitive
 - Essential to help us reach our RONCE objective



Efficiency & Productivity



- Quality is important in all positions – not just manufacturing
- TLD WIN is suffering from Poor Perceived Quality
 - Visual appearance of the units upon receipt
 - Rusty panels/bolts/running gear
 - Quality of simple components
 - Switches, displays
 - Technical Manuals Quality
- Each of us has deliverables, some to external customers, some to internal customers
 - We each need to review the quality of our work to make sure we're delivering the highest quality product we can.

- Remember -

**Our competitors are getting better every day –
we must continue to improve to keep up**



Quality



- Productivity and Efficiency are easy to measure in manufacturing
- Improvements in administrative and engineering activities are also important
- Each of us must spend time every week reviewing our tasks, trying to find ways to improve our productivity
 - IT Systems can be created to ease some administrative tasks
 - These systems benefit everyone in the group, not just TLD WIN
- Potential areas for improvement
 - Automatic integration from BAAN to reduce data reduction efforts
 - Improved reporting from BAAN, to make reports easier to use and more useful
 - Repetitive tasks that only take a few minutes can add up to a lot of minutes when all locations are considered
- IT is positioned to implement process improvements we suggest – so think hard and talk with your manager



Productivity & Efficiency



- 2010 Is a Challenging Year for TLD
 - Low sales for 4Q2009 and 1Q2010 created a profit dip that the banks do not like
 - We continue to have strong financing and good support from the investors, but we must sure we are run the business well
- Important Group Projects (Outside of TLD WIN)
 - Navy LLTT
 - PFA-50 Loader
 - Taxibot
 - Electric Baggage Tractor
 - Electric Loader New Technology



View from the Group



- TLD Values are posted throughout the factory
- Take a minute to read them
 - They reflect the values management has for the business
 - They reflect the values to want our employees to have
 - They reflect the values we share with our customers



TLD Values



- ACU-902
 - ACU-902 #2 was dispatched to KLM Last Week
 - To be tested in Amsterdam over the summer, in direct competition with two other suppliers
- ACU-904
 - Good Work by Everyone – very tough build
 - 20K over cost per unit – need to drive cost from the unit by improved sourcing
- ASU Control System Improvements
 - Testing underway, good development process with good cost control
- ACU-802-HE
 - Delayed due to ACU-904 issues
 - Coil Cost Issues to be overcome



Engineering Projects



- ASU Improvements
 - Test and Productionize – On-Going
- ACU Improvements
 - ACU-802 upgraded to high efficiency control system - July
- Tier 4 Diesel Emissions Integration
 - Starting in July
- TLD Self-Power Chassis
 - Preliminary design work underway
 - Outsourced final design
 - Manufacturing in China
 - Assembly at TLD WIN
 - Greater Margin for TLD than Navistar trucks we use today
 - More customers will buy powered units when they are less expensive



Remaining 2010 Projects



- US Air Force
 - 10 ACU-808
- FedEx
 - 5 ASU-270 Air Starters
 - 5 more to be ordered
 - 1 ASU-400 Air Starter
 - 1 More to be ordered
- Boeing
 - 11 ACU-302
- Vietnam
 - 18 ACU-401
 - 18 GPU-4090

- Why do We Win or Lose Orders?

- ★ Price/Value Proposition
- ★ Competitive Discounts
- ★ After Sales Support
- ★ Build Quality as Received
- ★ Historical Experience with TLD products
- ★ Lead-Time/Delivery commitments
 - Sales Team Relationships

★ Our Actions That Impact Our Sales

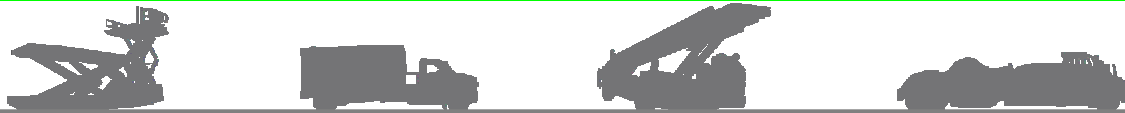


Recent Significant Wins



- RONCE
 - YTD Performance $10\% < \text{Our Performance} < 25\%$
 - We are on track for a reduced payout, but we can make it better!
 - Our Contributions
 - Maximize Income by minimizing costs
 - Don't waste anything
 - Work efficiently
 - Improve quality to reduce cost of rework and warranty
 - Minimize Capital
 - Move units through production and test quicker
 - Ensure inventory quantities are correct – only buy what we need
 - Maintain our equipment so we don't have to spend money on repairs or replacement

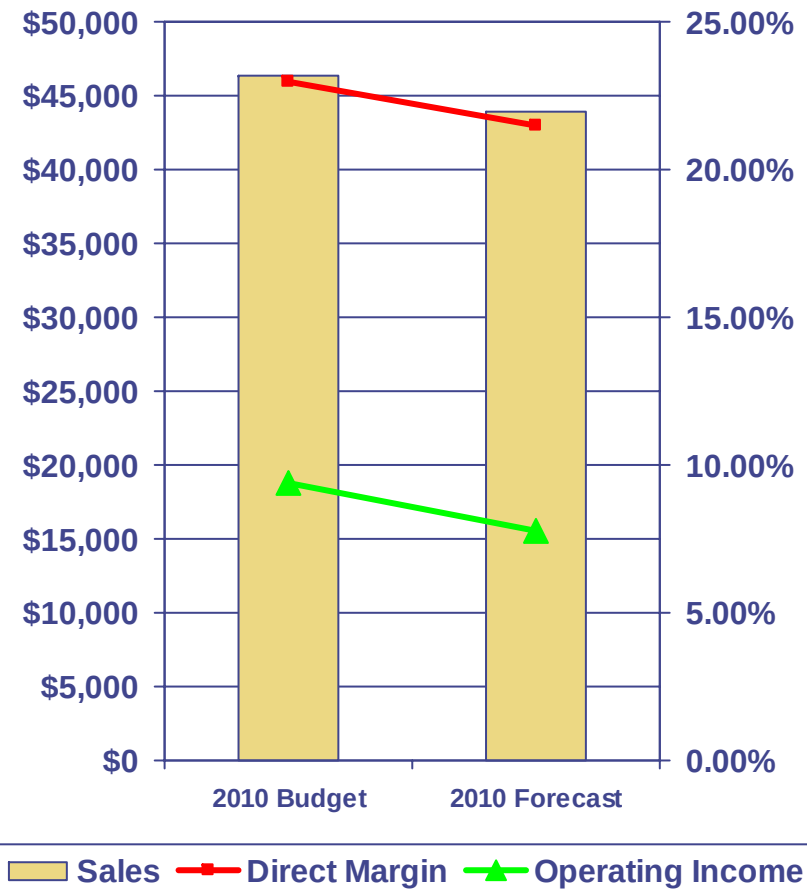
Your Daily Choices Impact this Bonus!



RONCE Bonus



- 2010
 - Backlog is OK, bookings seem stable
 - 2010 Forecast Shows us missing our budget by 10%
 - Profit is lower than budget by 20%
 - Negatively impacts RONCE
- COST CONTROL
 - We must control costs at every position
 - Manufacturing
 - Engineering
 - Procurement
- If we do not make changes, we will not improve
 - Find the savings!



Forecast



- 2010 is challenging year for TLD WIN
 - We must react to this challenge aggressively
- Quality must continue to get better
 - Customers remember poor quality – it will influence their next purchasing decision
 - YOUR ACTIONS ARE IMPORTANT – MAKE THEM COUNT!
- COST is our enemy
 - When our costs increase, our profit decreases, and our RONCE decreases
 - Fight vendor cost increases
 - Improve efficiency in production and engineering
- Engineering projects pave the way for future growth – they must be supported well!

**Every action we take impacts the company and ourselves –
Make your impact Positive!**



Summary

